PRIORITY 22 OF 33 · SCORE 2.7

Education

Education's measured error rates are low (about 1% for Pell and Direct Loans), but "ghost student" identity fraud is real and growing. The department says ID checks saved about $1B. Public data are school-level, so we can flag the colleges most exposed, not the fake students.

INVESTIGATIONS WE PROPOSE

ED-1	Ghost student risk by college: aid growth with falling completion. **First prototype.**
ED-2	Schools on cash monitoring or tied to closed schools.

EXPOSURE

- Pell Grant: 1.07% improper in FY2025 (down from 2.64%). Direct Loan: 0.99%. (PaymentAccuracy.gov)
- The department credits mandatory government ID checks with about $1B in savings; before them, under 1% of students were verified. Minnesota alone reported $12.5M in student aid fraud. (CBS Austin, Apr 2026)

PUBLIC DATA WE USE

- **FSA Data Center:** Title IV volume by school, program reviews, and the Heightened Cash Monitoring list.
- **College Scorecard** and **IPEDS** (enrollment, online share, completion).
- **Education OIG reports** and DOJ releases.

HOW WE DETECT IT

1. **Ghost student exposure:** colleges, mostly online community college programs, where aid volume jumps while completion and retention fall.
2. **School risk:** schools on cash monitoring, with sanctions, or with owners tied to closed schools.

FIRST PROTOTYPE

A school-level ghost student risk ranking, validated against colleges named in news and OIG cases.

SCORECARD

Fraud savings identified
Pending

Phase 1 window
Weeks 11–13
Jan 25, 2027 to Feb 12, 2027

Workstream
Aggregate screens and access cases

FY2026 outlays
$135B · budget rank 9

Leads go to
FSA Enforcement, ED OIG

WHY PRIORITY 22

Exposure	●●○○○
Public data	●●●○○
SBA method fit	●●●○○
Actionability	●●●○○

OUR REVIEW, DELIVERED WEEK 13

School-level ghost student risk ranking from FSA Title IV volume, Heightened Cash Monitoring list, College Scorecard and IPEDS (online share, aid growth versus completion and retention); owner links to closed or sanctioned schools. Validate against colleges named in OIG and news reports.

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

WHAT WE ASK OF EDUCATION

Phase 2 data: FAFSA and enrollment data.

What it enables: Ghost student detection at application.

Access route: FSA; Education OIG.

LIMITS

Student-level data are protected by privacy law and will not be public. Real detection needs a pilot with FSA.

SOURCES

- PaymentAccuracy.gov: Education
- CBS Austin: Education says ID checks saved $1B

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

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